Deal Tax Projection

Northgate Apartments · Sacramento, CA

ILLUSTRATIVE SAMPLE — FICTIONAL DEAL (CREDevSim). Tax basis: 2027 placed-in-service (01/2027); rates as of 2026-10-12 carried forward. · Generated 2026-10-12 09:52

Kasing Ng, CPA
Real Estate Tax Advisory

After tax, the LPs keep **7.0% IRR** and **1.40x** with no LP tax due in any year of the 7-year hold. The entire bill lands once, at sale.

AFTER-TAX LP IRR	AFTER-TAX LP EQUITY MULTIPLE	LP TAX DURING THE HOLD
7.0%	**1.40x**	**$0**
3.1 pts drag from the 10.1% pre-tax IRR	against 1.62x pre-tax · $3.232M of after-tax profit on $8.169M invested	in every one of the 5 operating years. §469 is what produces it: the depreciation loss is suspended rather than used, and that bank is released against the exit tax (Section 1).

SHELTER	TAX AT SALE, LP SHARE	THE DECISION
Straight-line	**$3.163M**	**Does not screen**
No basis is accelerated in this scenario. §469 banks the LP's operating losses through the hold; $2.475M is still suspended at sale and frees then.	$1.278M unrecaptured §1250 gain + $1.885M capital gain, at the LP share. Net of the §469(g) release the LPs bear $1.824M, or 36% of the $5.056M pre-tax LP profit. (Section 3)	A cost segregation study does not pay for the modeled investor on this deal (Section 2).

After-tax LP IRR by exit year. Sale price, debt, depreciation method and tax rates held constant; only the exit timing moves. Exits before lease-up ends (month 59) are left out: the held sale price is a stabilized value.



ORDINARY-RATE SENSITIVITY: WHAT MOVES IF THE LP'S FEDERAL BRACKET IS LOWER

Federal ordinary rate	After-tax LP IRR	LP tax at sale, net of §469 (preferential rates held at top)
24%	6.4%	**$2.146M**
32%	6.8%	**$1.948M**
37%, top bracket, modeled	**7.0%**	**$1.824M**

The $3.163M gross tax at sale is the same in every row. This scenario is straight-line, so the exit tax is all unrecaptured §1250 and §1231 capital gain, with no §1245 ordinary recapture. Nothing in the exit tax rides the ordinary rate. What the ordinary rate changes is the value of the §469 suspended losses, which is why the after-tax IRR and the tax net of §469 move across the rows. A higher bracket makes those losses worth more, so for this deal the top bracket is the best case, not the worst.

These rows isolate the federal ordinary rate. The 13.3% state rate is also held in every row, though a lower federal bracket usually means a lower state bracket too. The preferential and capped rates, 20% capital gain, 25% unrecaptured §1250, and the 3.8% NIIT, are held at the modeled high-income LP in every row, including the 32% row. The 20% capital-gain rate fits top-bracket income, so a genuinely lower-income LP would also face lower preferential rates and a different total. Read these as the effect of the ordinary rate alone, not as a lower-income investor's complete tax bill. Compare the after-tax IRR against other after-tax returns, never a pre-tax number.

What moves this: whether cost segregation is added (this scenario is straight-line), how long the asset is held, and whether the sale is taxable or exchanged.

Modeled investor: passive LP under §469; federal 37.0% ordinary, 25.0% unrecaptured §1250, 20.0% capital gain, plus 3.8% NIIT, and 13.3% state — California (CA). Depreciation: straight-line over 27.5 years, no bonus.

WHAT FOLLOWS, AND WHAT EACH SECTION DECIDES

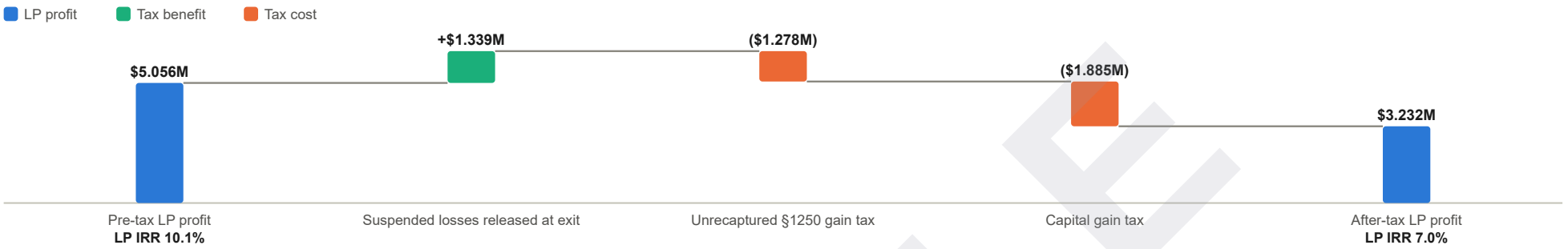
1	**After-tax LP returns**	10.1% pre-tax to 7.0% after-tax
2	**Cost segregation screening**	does not screen for this investor
3	**Exit tax map**	$3.163M LP share, 38.6% blended on gain
4	**1031 exchange vs taxable sale**	$1.824M net if sold; an exchange defers all of the exit tax

SAMPLE

1 AFTER-TAX LP RETURNS

LP figures are modeled after-tax at the asset level, not individualized per K-1: operating tax, released losses and the unrecaptured §1250 gain tax follow the LP share of contributed equity (100.0%), capital gain follows the LP share of exit profit (72.1%). The two differ because the waterfall is not pro-rata: the GP's promote takes a share of profit larger than its share of contributed capital, which pulls the LP share of exit profit below the LP share of contributed dollars. That profit share is what the distribution waterfall pays the LPs, so the GP's share of profit, including any promote, is already excluded from every LP figure. §1061 (carried interest) applies only to the GP's promote, and generally not to gain from a sale of the property itself, which is §1231 gain its regulations exclude (Treas. Reg. §1.1061-4(b)(7)). GP returns are in the Deal Summary.

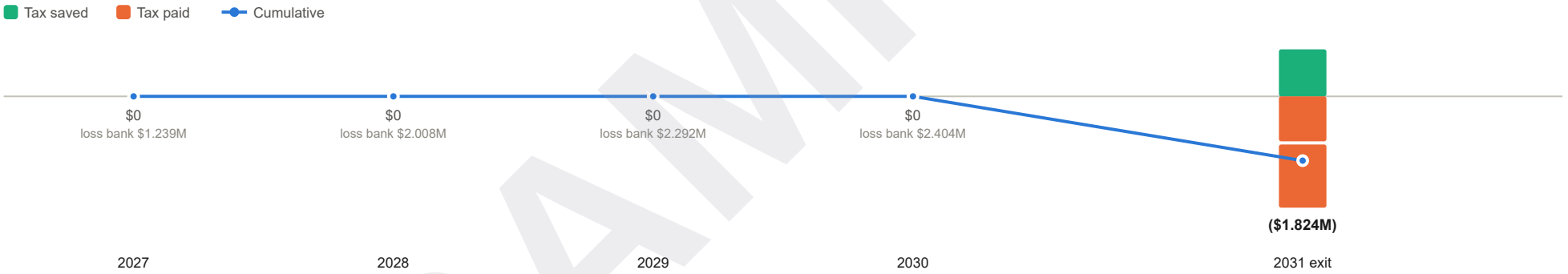
Where the pre-tax LP profit goes: pre-tax to after-tax, in dollars



	Whole deal	LP share	LP amount
Pre-tax LP profit			**$5.056M**
Suspended losses released at exit	+$1.339M	100.0%	**+$1.339M**
Unrecaptured §1250 gain tax	($1.278M)	100.0%	**($1.278M)**
Capital gain tax	($2.614M)	72.1%	**($1.885M)**
After-tax LP profit			**$3.232M**

Whole-deal exit tax lines are the totals in the Exit Tax Map. At the LP share of contributed equity (100.0%): operating tax, released losses, boot recapture, and the unrecaptured §1250 gain tax. At the LP share of exit profit (72.1%): capital gain tax and boot capital gain. The LP amounts foot to the after-tax LP profit behind the after-tax IRR above. Shown in dollars because IRR changes are not additive.

1 When the tax lands: LP tax by year

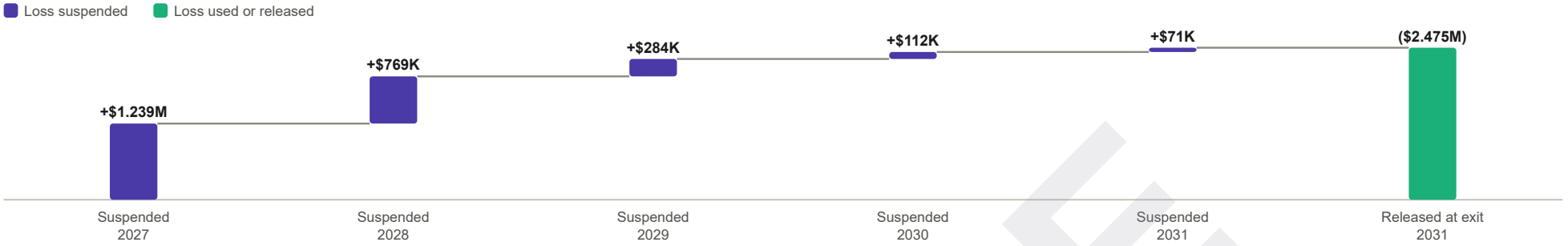


	2027	2028	2029	2030	2031 exit
Operating tax saved / (paid)	$0	$0	$0	$0	**$0**
Exit tax items, net					**($1.824M)**
Net for the year	$0	$0	$0	$0	**($1.824M)**
Cumulative	**$0**	**$0**	**$0**	**$0**	**($1.824M)**

Same LP amounts as the bridge above, by calendar year. Exit year: losses released +$1.339M, unrecaptured §1250 gain ($1.278M), capital gain ($1.885M). A $0 operating year is a loss year: §469 suspends the loss rather than using it (the loss bank below). The grey figure under a $0 year is that year's suspended balance in loss dollars, not tax, and is not plotted on the axis above. The cumulative line ends at ($1.824M), the after-tax less pre-tax LP profit.

SAMPLE

1 The suspended passive loss bank (§469): why operating tax stays at $0 until exit



	2027	2028	2029	2030	2031
Income (loss) before §469	($1.239M)	($769K)	($284K)	($112K)	**($71K)**
Loss suspended	$1.239M	$769K	$284K	$112K	**$71K**
Loss used against this deal's income					
Released at exit, §469(g)					**$2.475M**
Suspended balance, year end	**$1.239M**	**$2.008M**	**$2.292M**	**$2.404M**	**$0**

LP share (100.0% of contributed equity) of the deal's passive loss, in loss dollars, not tax. The model treats this deal as the partner's only passive activity: §469 suspends each loss year and applies the balance against this deal's later income. A fully taxable sale frees the remaining $2.475M under §469(g), worth +$1.339M at the 54.1% combined ordinary rate: the released-loss step in the bridge above.

2 COST SEGREGATION: SCREENING ESTIMATE

UNFAVORABLE

Short-life eligible basis (25% assumption)	**$4.245M**
Modeled passive LP, §469 applied: PV @ 8% of after-tax LP cash flow, cost segregation less straight-line	**($53.1K)**
Study-fee breakeven, passive LP, §469 applied (LP gain ÷ 100.0% LP share of contributed equity)	**($53.1K)**
For comparison, breakeven for a real estate professional, losses used currently	**$409K**

This deal models the LP as a **passive** investor, so §469 suspends the first-year loss: it shelters the deal's own later income and the balance frees at a taxable exit, while the reclassified basis still recaptures at ordinary rates. Re-running this deal on both depreciation methods, after-tax LP IRR is 6.83% with cost segregation against 6.99% on straight-line, and after-tax LP profit differs by ($91K) in nominal dollars. A real estate professional who can use the losses currently measures 9.77% against 8.11%, the comparison breakeven above. That comparison requires material participation, which a limited partner generally cannot establish (§469(h)(2); Temp. Reg. §1.469-5T(e)); it also models no 3.8% net investment income tax. Outside passive income from other activities does not move this at the levels measured — the band below shows why.

The passive breakeven falls as more basis is reclassified: suspended losses can only shelter this deal's own income, so reclassified basis beyond that waits for exit and adds ordinary-rate recapture.

Does outside passive income rescue it? Not at the levels measured. §469 groups a partner's passive activities, so outside passive income can free the suspended loss sooner — but no level measured here flips the verdict (only current use, a real estate professional, does):

No other passive income (this deal only)	**($53.1K) study-fee breakeven**
$250K / yr of other passive income, all partners combined	**($66.1K) study-fee breakeven**
$500K / yr of other passive income, all partners combined	**($68.3K) study-fee breakeven**
$1.000M / yr of other passive income, all partners combined	**($83.2K) study-fee breakeven**
Real estate professional (uses losses currently)	**$409K**

Modest outside income absorbs the straight-line baseline's steady losses more than cost segregation's front-loaded one, so the breakeven stays near or below the single-activity figure until that income is large enough to consume the first-year loss, approaching the professional ceiling.

Basis of estimate

- The short-life % is a rule-of-thumb assumption applied to the client-supplied building basis (excluding land). It is **not** an engineering cost segregation study.
- Each breakeven re-runs this deal's full model twice, on cost segregation and on straight-line, with §469 applied to a passive partner and §1245 recapture at ordinary rates at exit.
- The after-tax LP cash flow difference is discounted at 8%, then grossed up to a deal-level fee by the LP share of contributed equity.
- Bonus depreciation is priced at the combined federal and state rate. Many states, California and New York among them, do not conform to federal bonus depreciation and spread the state deduction over the recovery period, so for an LP in those states the state share of the benefit is overstated.
- The remaining building basis is modeled as 27.5-year real property; confirm that classification for this asset type.
- All depreciation on reclassified basis is assumed recaptured as §1245 ordinary income at exit. Land improvements inside that basis (roads, paving, site utilities) are §1250 property and recapture as ordinary only above straight-line, so this can overstate the tax.
- Actual eligible basis, benefit and recapture depend entirely on a property-specific study and the client's facts. Use as a screening threshold only.

Relationship to the rest of this report: this deal is modeled on straight-line depreciation, so the benefit above is **not** included in the returns in Section 1 or the exit tax in Section 3. It is the forward upside available if a study is commissioned.

SAMPLE

3 EXIT TAX MAP: WHOLE DEAL, WITH LP SHARE

TAXABLE EXIT · 38.6% BLENDED ON GAIN



	Gain, whole deal	Rate	Tax, whole deal	LP share	LP tax
Unrecaptured §1250 gain	$3.036M	42.1%	$1.278M	100.0%	**$1.278M**
§1231 capital gain (appreciation)	$7.046M	37.1%	$2.614M	72.1%	**$1.885M**
Total exit tax	**$10.082M**		**$3.892M**		**$3.163M**

Whole deal = all partners. LP tax applies the LP share of contributed equity to the unrecaptured §1250 gain and the LP share of exit profit to capital gain, and foots to the unrecaptured §1250 gain and capital gain steps in Section 1.

Basis of estimate: exit tax

- Rates are combined federal + state (state 13.3%), so gain × rate reconciles to the tax shown. NIIT included where applicable.
- State tax is modeled for one investor resident state. An LP resident elsewhere, or taxed as a nonresident by the property's state, adds that state's tax to these figures. Entity-level state taxes (franchise, margin or gross receipts) are not modeled.

4 1031 EXCHANGE VS. TAXABLE SALE

This projection models a fully taxable disposition. A qualifying 1031 like-kind exchange could defer **$3.892M** of exit tax (**$3.163M** LP share, detailed in Section 3) into replacement property rather than recognizing it at sale. In a syndication the exchange is the partnership's election, not an individual LP's. That strategy is not reflected in these figures and would be evaluated separately against the client's reinvestment plans.

	Taxable sale, as modeled	1031 exchange, not modeled
LP exit tax recognized at sale	$3.163M	**$0, deferred into the replacement property**
Less: §469 suspended losses released, LP tax value	($1.339M)	**not modeled: no §469(g) release; with no gain recognized, the losses stay suspended**
LP net tax at exit	**$1.824M**	**$0**

Basis of estimate: 1031 comparison

- Deferral, not forgiveness. The replacement property takes a carryover basis (§1031(d)), so the deferred gain comes back as lower depreciation over the new hold and a larger gain on the eventual taxable sale.
- The §469 losses this projection releases at sale under §469(g), worth $1.339M of LP tax, would not release in an exchange; no gain is recognized there, so they stay suspended until a later fully taxable disposition. That is why the net figure above is smaller than the headline deferral.
- Identification and closing deadlines (45 and 180 days, §1031(a)(3)) and the identity of the taxpayer that must acquire the replacement property govern whether any of this is available. Both are counsel questions, not modeling questions.

Prepared by Kasing Ng, CPA, California CPA License 139270. Basis of preparation. This projection was prepared as an illustrative sample using representative composite inputs. All figures are estimates, not a filed return, an audit, or an engineering cost segregation study, and they will differ from actual results as facts, market conditions, and final tax positions develop. Rates reflect federal tax law in effect on 2026-10-12; bonus depreciation follows the method modeled for the placed-in-service date stated above. Depreciation, recapture, capital gains, and 1031 treatment are modeled at the asset level using the rates and assumptions stated on this report, not an individualized per-partner K-1 allocation. **Scope.** This is a non-attest advisory analysis of the deal's tax posture, performed at the sponsor's request. It is not an audit, review, or compilation, and no assurance and no independence is asserted or implied. The preparer is not the signing return preparer and does not opine on the client's filed returns; final positions should be confirmed with the client's return preparer and legal counsel. **Methodology.** IRR is computed by monthly Newton-Raphson iteration (tolerance 1e-8) on the full cash-flow array, with no annual approximations, and every figure in this report can be reconciled to the deal inputs. **Illustrative sample.** This is an illustrative sample built on a fictional deal, not an actual client model. Figures are illustrative only and are not tax advice. Provided for display and publication as a sample of CREDevSim's work product. **Questions on any figure in this report** go to Kasing Ng, CPA, kasing@credevsim.com (credevsim.com).

SAMPLE